IN THE UNITED STATES BANKRUPTCY COURT
FOR THE SOUTHERN DISTRICT OF ILLINOIS
EAST ST. LOUIS DIVISION

In re: JAMIE L. BRUCKER and ANGELA JANE BRUCKER, Debtors. NANCY J. GARGULA, United States Trustee, Plaintiff, v. DEIGHAN LAW LLC f/k/a LAW SOLUTIONS CHICAGO LLC, d/b/a UPRIGHT LAW LLC, and RONALD ALLAN BUCH, Defendants.	Case No. 19-31474 Chapter 7 Adversary No. _____

COMPLAINT

NOW COMES, NANCY J. GARGULA, the United States Trustee for Region 10 ("U.S. Trustee"), by Mark D. Skaggs, her attorney, and for her Complaint, states as follows:

JURISDICTION AND VENUE

1. This is a complaint in which the U.S. Trustee is seeking compensatory and injunctive relief as well as the imposition of sanctions against Deighan Law LLC, formerly known as Law Solutions Chicago LLC, and doing business as UpRight Law LLC, ("UpRight Law") and Attorney Ronald A. Buch, who provided legal services to the Chapter 7 Debtors Jamie L. Brucker and Angela Jane Brucker ("Debtors") in case number 19-31474 now pending in the United States Bankruptcy Court for the Southern District of Illinois, East St. Louis Division.

2. The Court has jurisdiction of this proceeding pursuant to 28 U.S.C. § 1334(b) and a general order of reference from the United States District Court for the Southern District of Illinois.

3. This proceeding is both a constitutionally and statutorily core proceeding under 28 U.S.C. § 157(b)(2)(A) and (O) in that it asserts only claims arising directly under title 11 of the United States Code. Nevertheless, to the extent any of these proceedings are non-core, the U.S. Trustee

consents to the entry of a final judgment by the Bankruptcy Court in accordance with the local rules of this Court.

4. Venue is proper pursuant to 28 U.S.C. §§ 1408 and 1409(a).

PARTIES

5. Plaintiff is the duly appointed United States Trustee for Region 10, which includes the Southern District of Illinois.

6. Plaintiff has standing and files this Complaint in her official capacity pursuant to 28 U.S.C. § 586(a) and 11 U.S.C. § 307.

7. Defendant, UpRight Law is an Illinois limited liability company with its principal place of business in Chicago, Illinois.

8. UpRight Law provided legal services to the Debtor in connection with the filing of a Chapter 7 bankruptcy case, docketed as case number 19-31474 (the "Bankruptcy Case").

9. Defendant Ronald A. Buch, a member of the bar of this Court, purports to be a partner of UpRight Law ("Mr. Buch"). Mr. Buch executed and electronically filed the bankruptcy petition, schedules ("Schedules"), and the statement of financial affairs (the "Statement") in this case utilizing the Court's CM/ECF system.

10. At some point in time in 2018, Mr. Buch purchased and became the owner of the firm formerly owned by William Mueller, the local partner attorney who electronically signed the UpRight Law retainer agreement with Debtors. Subsequently, UpRight re-assigned the Debtors' local attorney referral to Mr. Buch.

11. Robert E. Eggmann serves as the duly appointed Chapter 7 Trustee (the "Chapter 7 Trustee").

PROCEDURAL HISTORY

12. Debtor filed her voluntary petition under Chapter 7 of Title 11 of the United States Code (the "Bankruptcy Code") on October 30, 2019 (the "Petition").

13. Mr. Buch signed Debtors' Petition on page 7 as counsel for Debtors. Mr. Buch's signature block on the Petition attests that he was filing this case as an attorney of UpRight Law.

FACTUAL ALLEGATIONS RELEVANT TO ALL COUNTS

A. The Structure and Business Model of UpRight Law

14. UpRight Law operates primarily from its main office in Chicago, Illinois.

15. As of June 1, 2015, UpRight Law had three equity members, Kevin Chern, Jason Allen, and David Leibowitz (the "Equity Members").

16. Between 2015 and his departure from UpRight Law in early 2019, Kevin Chern was the managing partner and the attorney who had supervisory responsibility over the company's attorney and non-attorney staff and local partners.

17. UpRight Law asserts that Mr. Allen ceased his job functions in June 2018 and signed his separation papers on July 18, 2018, while Mr. Chern officially resigned on February 19, 2019.

18. Michael Deighan a/k/a Mike Deighan is now the majority equity member of UpRight Law, and in and around May of 2019, the firm changed its legal name to Deighan Law LLC. Following Mr. Chern's departure from UpRight Law, Mr. Deighan became and is now the managing partner and attorney who has supervisory authority over the company's attorney and non-attorney staff and local partners. Online records for the State Bar of Michigan indicate that Mr. Deighan is licensed to practice in Michigan, while the online records of the Illinois Attorney Registration & Disciplinary Commission indicate that Mr. Deighan is not licensed to practice law in Illinois.

19. UpRight Law's advertising, including its website, found at https://www.uprightlaw.com/, states that UpRight Law is a debt relief agency and that it "help[s] people file for relief under the Bankruptcy Code."

20. Prior to his departure from UpRight Law and Mike Deighan's succession as equity owner and Managing Partner, UpRight Law's website named Mr. Chern as the attorney responsible for the content of the site. UpRight Law's website currently provides that "An attorney responsible for the content of this site is Mike Deighan, Esq., licensed in Michigan with an office at 79 West Monroe Street, 5th Floor, Chicago, Illinois 60603." The website further directs prospective assisted persons who view it to click a link "To see the attorney in your area who is responsible for this advertisement."

21. UpRight Law's advertising asserts that it is committed to "Increasing Efficiency delivering fair and just outcomes effectively, without waste or duplication."

22. UpRight Law commences cases in bankruptcy courts throughout the United States, including in this Court, through its affiliations with locally licensed attorneys.

23. UpRight Law refers to its local attorneys (hereinafter, "Local Attorneys") as "limited partners" and/or "partner attorneys" based on the execution of a "Partnership Agreement."

24. The Partnership Agreement provides for the division of fees between UpRight Law and the Local Attorney on a case by case basis based on the completion of certain tasks by the Local Attorney in a chapter 7 or a chapter 13 case.

25. The Partnership Agreement also provides for the distribution of 1% of the profits generated in each jurisdiction to the Local Attorneys in that jurisdiction on a yearly basis.

26. In chapter 7 cases, the Local Attorneys now receive up to thirty-three percent of the fees paid to UpRight Law. The Local Attorney is responsible for all document collection and review and the preparation of the petition and schedules, with the exception of basic information – such as the debtors' address, the part of the statements of financial affairs concerning UpRight Law's compensation, and the preparation of the required Rule 2016 disclosures – which are all prepared by employees in UpRight Law's Chicago office.

27. Mr. Buch signed Partnership Agreement with UpRight Law on June 26, 2018.

28. Under this agreement, Mr. Buch receives 33% of the fees paid to UpRight Law by the clients whom UpRight Law refers to him if their cases are filed and the clients receive a discharge.

29. Thus, UpRight Law retains approximately 67% of the fees in each chapter 7 case for providing an initial "consultation" with a non-attorney salesperson, preparing and obtaining a signed retainer agreement, managing the debtors' payments, and completing a small portion of the required petition, the statement of financial affairs question regarding payment of fees for bankruptcy services, and the Rule 2016 disclosure to be filed with the court.

Count I – Violation of Section 526(a)(1) of Title 11

30. All of the preceding paragraphs this Complaint are incorporated herein by reference.

31. UpRight Law is a debt relief agency as defined in 11 U.S.C. § 101(12A) and advertises its services as such.

32. Mr. Buch is a debt relief agency as defined in 11 U.S.C. § 101(12A) and advertises his services as such.

33. At all times relevant to this complaint, the Debtors were prospective assisted persons or assisted persons as defined in 11 U.S.C. § 101(3).

34. UpRight Law advertises and offers bankruptcy assistance services, as defined in 11 U.S.C. § 101(4A), and represents to substantially all potential clients and/or prospective assisted persons that it is efficient in the filing of bankruptcy cases and that it will provide immediate legal help to prospective assisted persons.

35. UpRight Law failed to timely file a Chapter 7 Bankruptcy Case in the Southern District of Illinois after the completion of the Debtors' payments.

WHEREFORE, the Plaintiff prays for a final order and judgement on Count I:

A. Finding that both Defendants violated 11 U.S.C. § 526(a)(1);

B. Finding that such violations by UpRight Law were part of clear and consistent pattern or practice or were done intentionally;

C. Imposing an injunction pursuant to 11 U.S.C. § 526(c)(5)(A) against UpRight Law and barring UpRight Law from engaging in conduct which would violate Section 526(a), including representing to Debtors that it is "efficient" or able to timely file a case or that it will provide immediate legal help; and,

D. Imposing an appropriate civil penalty pursuant to § 526(c)(5)(B) of the Bankruptcy Code not to exceed $25,000 against UpRight Law and not to exceed $2,500 against Mr. Buch.

Count III – Disgorgement of Fees Paid Pursuant to 11 U.S.C. § 329(b) and Rule 2017

36. All of the preceding paragraphs of this Complaint are incorporated herein by reference.

37. Debtors entered into a written retainer agreement with UpRight Law and Mr. Mueller, and ultimately assigned to Mr. Buch, under which UpRight Law and Mr. Buch agreed to represent Debtors in their bankruptcy case. Debtors paid UpRight Law and Mr. Buch together attorney's fees of $1,725.00.

38. UpRight Law knew or should have known at the time of their phone call with Mr. Estes, a non-attorney UpRight Law employee, on June 29, 2018, that Mr. Brucker's wages were being garnished by Prestige and that one option to getting the case filed in a timely manner was for Debtors to seek to pay the court filing fee in installments.

39. With this knowledge, UpRight Law should have advised Debtors that if it is against UpRight Law's policy of seeking to pay the filing fee through Court approved installments, they might want to consider other lawyers who might be willing to seek a Court Order allowing for the payment of the filing fee in installments.

40. Specifically, the customary rate charged by Mr. Buch when he files a chapter 7 bankruptcy case for clients who are not UpRight Law clients is $1,120.00.

41. Even though this case was clearly not filed in a rush, the information contained in the filing was inaccurate. Specifically, the Statement of Financial Affairs incorrectly set forth exactly which creditor it was that was garnishing Mr. Brucker's wages, the Lawsuit information relating to Prestige and the repossession activity of Prestige. It was Prestige who was garnishing Mr. Brucker's wages and not Ms. Oliver as part of the Second Lawsuit.

42. All compensation paid by Debtors to UpRight Law for the basic bankruptcy services provided over the many number of months of its retention due to UpRight Law's own apparent disregard and lack of urgency and diligence is unreasonable and excessive. Accordingly, such fees must be disgorged back to the Debtors pursuant to 11 U.S.C. § 329 and Fed.R.Bankr.Proc. 2017.

43. Under the facts and circumstances of this Bankruptcy Case, including Debtors' loss of $5,827.89 in garnished wages, the retention of any fees by UpRight Law is unreasonable and unconscionable.

44. As a direct result of UpRight Law's failure to immediately or even timely file Debtors' bankruptcy case, Debtors lost wages through the Prestige wage garnishment proceedings in the amount of $5,827.89.

WHEREFORE, the Plaintiff prays for a final order and judgment on Count III:

A. Determining that the attorney's fees UpRight Law and Mr. Buch charged the Debtors in this case are excessive and unreasonable;

B. Determining that retention of any fees in this case by Defendants UpRight Law, LLC and Mr. Buch is unreasonable in this case;

C. Canceling the Retainer Agreement between Debtors and UpRight Law and Mr. Buch;

D. Ordering return of all fees to Debtors pursuant to 11 U.S.C. § 329(b) and Rule 2017; and,

E. For any other and further relief the Court deems just and proper under the circumstances.

Dated: November 23, 2020

Respectfully submitted,

NANCY J. GARGULA,
United States Trustee

/s/ Mark D. Skaggs
Mark D. Skaggs,
Trial Attorney

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